Drishan Banerjee

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Education

Ph.D. Economics, University of California, Santa Cruz, expected 2027
Fields: Macroeconomics, International Finance, Climate Finance.

M.S. Economics, Indira Gandhi Institute of Development Research (IGIDR), Mumbai
GPA: 3.98/4.00, Chancellor's Gold Medal, 2022.

B.S. Economics, Presidency University, Kolkata
GPA: 9.2/10.0, 2020.

Research

Job Market Paper

- **Over the Hills and Far Away: Macroprudential Policy and Firm Foreign Exchange Exposure**

  Macroprudential policy that strengthen domestic banks can also increase firms' exposure to external risk. Using balance sheet data for Indian non-financial firms, I show that when tighter macroprudential measures constrain domestic bank credit, bank-dependent firms substitute toward foreign currency debt. Firms holding more foreign currency debt then suffer larger losses and a higher likelihood of distress when the rupee depreciates. To analyze the welfare implications, I build a two-sector model in which both banks and firms can default which captures the trade-off between bank resilience and firm fragility. Calibrated to India, the welfare-maximizing capital requirement is close to the Reserve Bank of India's current minimum.

Working Papers

- **This Time Is (Mostly) Different: U.S. Tightening Cycles and Global Resilience in the 1980s vs 2020s** *(with Galina Hale & Harrison Shieh)*

  NBER Working Paper No. 35673; CEPR Discussion Paper No. 21874.

  Covered in the Financial Times; Featured Working Paper, NBER October 2026.

  Presented at: XXVII Annual Conference of the Central Bank of Chile, Santiago, 2024*; Western Economic Association International Annual Meeting, San Francisco, 2025*; CEPR International Macroeconomics and Finance Programme Meeting, 2026*.

  Post-pandemic inflation raised fears that U.S. monetary tightening would trigger a repeat of the 1982 sudden stop in capital flows to emerging economies. Yet as of 2026, the world has not experienced any economic recession. We document three differences between the 1980s and the 2020s, beyond the shift to flexible exchange rates: monetary policy effectiveness, fiscal space, and external vulnerabilities. We develop a Mundell-Fleming model with a fiscal space constraint to explain these differences. The model shows that fiscal space plays a central role in how increases in foreign risk-free rates affect domestic economies. Cross-country evidence confirms that fiscal space shapes economic outcomes following monetary tightening abroad.

*Presented by coauthor.

Work in Progress

- **Cost-Benefit Analysis of Coastal Adaptation Measures to Reduce Storm-Related Flood Risks in California** *(with Galina Hale, Borja Reguero, Brook Constanz & Piyush Gandhi)*

  In this paper, we develop a methodology to assess the costs and benefits of climate adaptation policies for coastal assets, applied to regions in Santa Cruz, Ventura, and Half Moon Bay, California. We classify assets affected by flooding and estimate their economic losses using methods appropriate for each asset type including hedonic pricing, rent-to-revenue imputation and input output analysis. Using flood scenarios from the COSMOS-Adapt model, we account for uncertainty in potential losses and estimate how much people would be willing to pay to reduce these risks. We compare these estimates with the costs of six adaptation strategies: seawalls, beach nourishment, levees, groins, managed retreat and dune restoration. We then calculate cost-benefit ratios using both conventional methods and estimates that account for uncertainty and risk. Out findings show that accounting for uncertainty can change the assessment of which adaptation strategies offer the greatest economic benefits compared to conventional approaches with implications for adaptation finance and policy design.

- **Sovereign Risk Networks: Mapping Financial Linkages Across Emerging and Advanced Economies**

  This paper uses measures developed in the finance literature to analyse sovereign risk networks of emerging and advanced economies. Using mixed-frequency data, I decompose sovereign bond yields into observed common and country-specific factors and unobserved idiosyncratic factors, and apply elastic net regularization (LASSO and ridge) to estimate high-dimensional network adjacency matrices in the presence of sparsity and multicollinearity. Network analysis of these factors reveals important linkages and dependencies between country groups that can be used for financial stability monitoring.

- **Where Finance Meets Faith, Rethinking the Finance-Growth Relationship** *(with Siong Hook Law & Nirvikar Singh)*

  Does religiosity shape the relationship between financial development and economic growth? Using cross-country panel data, this paper examines whether the growth effects of financialization depends on how religious a society is. We build on previous work that establishes a non-linear relationship between financial development and growth and find that this relationship is present in advanced economies and secular emerging economies: beyond a certain point, financialization is associated with lower growth. This pattern does not hold in more devout emerging economies even at similar levels of financialization. The findings suggest that the relationship between finance and growth depends not only on the extent of financial development but also on the social context.

Awards and Fellowships

- Eileen Brooks Memorial Award for Best Second-Year Paper (Runner-Up), UCSC, 2024.
- Best Teaching Assistant Award, Department of Economics, UCSC, Fall 2022 and Fall 2024.
- Regents Fellowship, UCSC, 2022.
- Chancellor's Gold Medal for highest GPA in M.S. Economics, IGIDR, 2022.

Research Experience

- Graduate Student Researcher, University of California, Santa Cruz, 2023–2026 *(for Galina Hale, Borja Reguero & Nirvikar Singh).*
- Research Assistant, Indira Gandhi Institute of Development Research, Mumbai, 2022 *(for Rajeswari Sengupta).*
- Graduate Research Intern, Department of Economic and Policy Research, Reserve Bank of India, 2021.

Teaching Experience

Instructor of Record at UCSC

- ECON 294A(R) – Applied Economics and Finance Laboratory (Graduate), 2026.
- ECON 2 – Introductory Macroeconomics (Undergraduate), 2025, 2026.

Teaching Assistant at UCSC

- ECON 233 – Finance (Graduate), 2025.
- ECON 100A – Intermediate Microeconomics (Undergraduate), 2025.
- ECON 2 – Introductory Macroeconomics (Undergraduate), 2024, 2026.
- ECON 113 – Introductory Econometrics (Undergraduate), 2023, 2024.
- ECON 101 – Managerial Economics (Undergraduate), 2024.
- COWL 52 – Personal Finance (Undergraduate), 2023.
- ECON 197 – Economic Rhetoric (Undergraduate), 2023.
- ECON 126 – Why Economies Succeed or Fail (Undergraduate), 2022.

Professional Service

- Referee: *Journal of International Money and Finance*; *Review of World Economics*; *Scientific Reports* (Springer Nature).

Miscellaneous

Computer Skills Stata, R, MATLAB, Python, LaTeX

Languages English, Bengali, Hindi (all fluent)

References

Galina Hale (Chair)
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